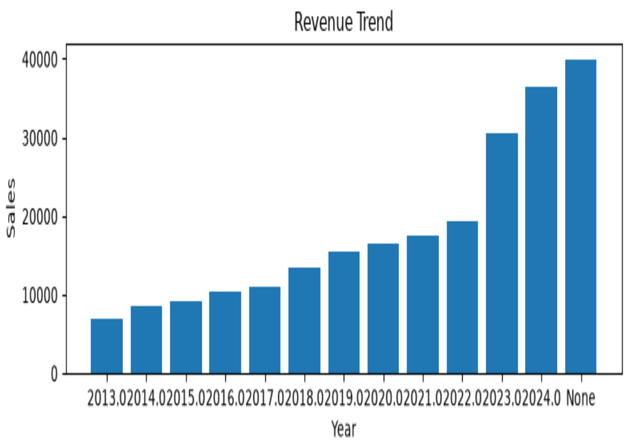
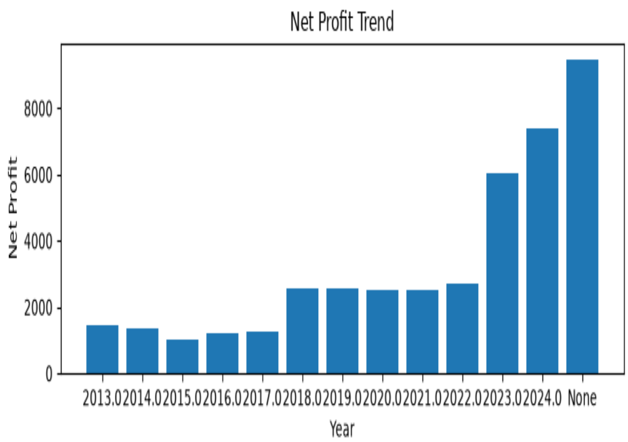
Shriram Finance Ltd

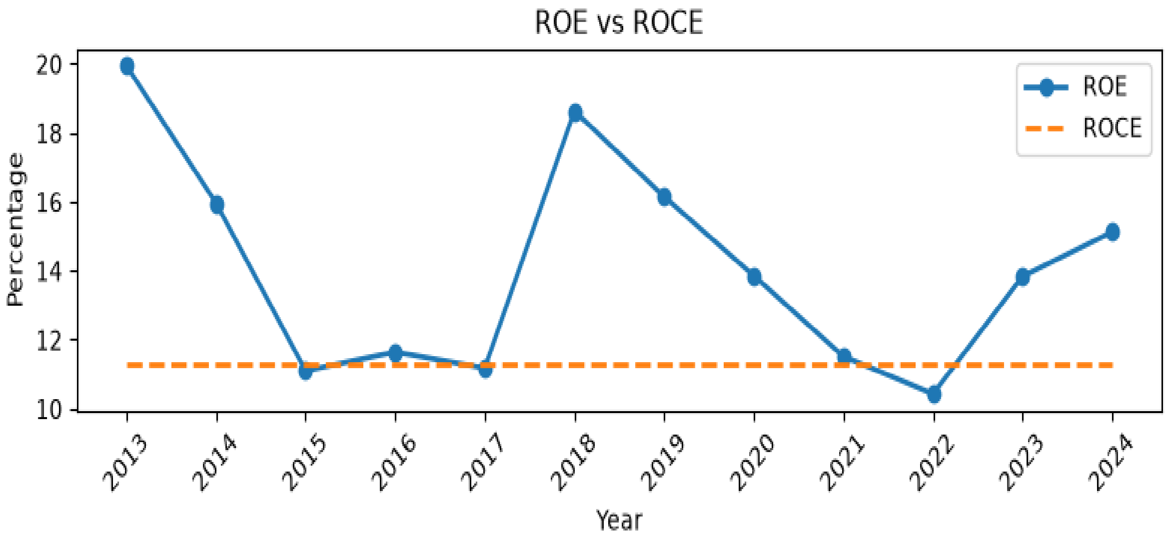
Investment Summary

Overall Rating	★■■■■
Quality Score	17/100
Financial Health	Weak
Capital Allocation	Growth Funded by Debt
Recommendation	AVOID

10 Year Financial Trends







Capital Allocation Pattern

Growth Funded by Debt

ROE	15.12%
ROCE	11.30%
NPM	20.33%
OPM	28.92%
D/E	3.99
EPS	39.00

Pros

• Revenue growing at above 15% CAGR over 5 years reflects strong business momentum.

• Operating profit margin above 25% indicates strong pricing power and cost discipline.

• Return on equity improving for 3 consecutive years shows strengthening business quality.

• Revenue growing slower than profits shows improving operating leverage and scale benefits.

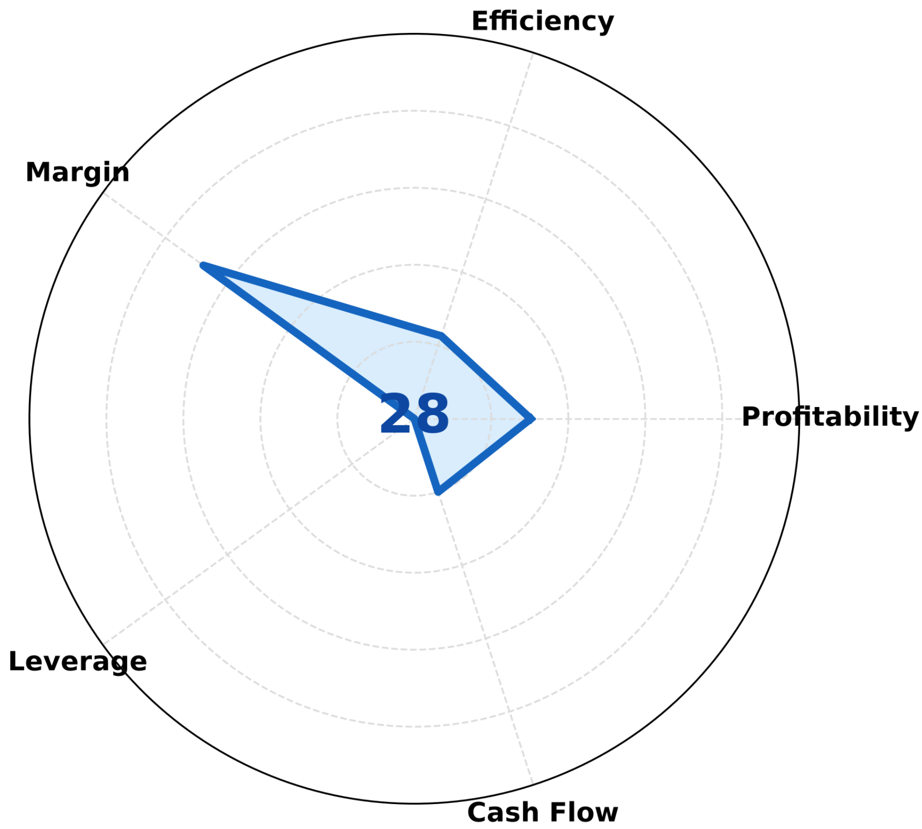
Cons

• Debt-to-equity ratio of 3.99 is elevated and warrants monitoring.

• Free cash flow negative for 3 consecutive years raises concern about cash generation quality.

• Interest coverage ratio below 1.5x indicates the company may struggle to meet debt obligations.

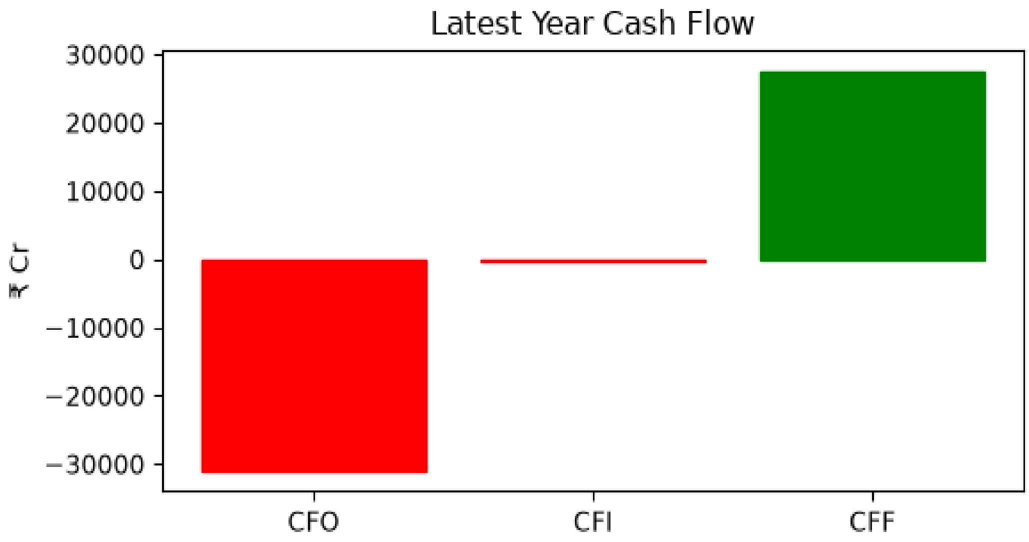
Financial Strength Radar



Peer Comparison

Rank	Company	ROCE	ROE	NPM	D/E
1	**Bajaj Finance Ltd**	**11.90%**	**22.10%**	**26.29%**	**3.82**
2	**Shriram Finance Ltd**	**11.30%**	**15.90%**	**20.33%**	**3.99**
3	Cholamandalam Investment & Finance Company Ltd	10.40%	20.20%	17.85%	6.86

Cash Flow Analysis



Stock Price Performance

Valuation Dashboard

Market Cap	■ 868,933 Cr
PE Ratio	68.53
PB Ratio	7.91
Dividend Yield	1.86%
Valuation	Expensive